VALUATION AT MERIDIAN CAPITAL: A $102 MILLION WRITE-DOWN

On 11 September 2026, Meridian Capital Partners wrote down its investment in Khandesh Foods Private Limited by $102.4 million.

The write-down was carried in the fund's half-yearly valuation report to limited partners, in a table on page 31, between a logistics business that had done well and a diagnostics chain that had done neither well nor badly. It was described in a footnote as a revision to carrying value reflecting sustained underperformance against the acquisition case. The investment had cost $343.4 million in November 2023. It was now carried at $241.0 million.

Nikhil Deshpande read the report on his phone, in a taxi, on the way to the airport. He had been a vice president at Meridian for eleven months. In 2023 he had been an associate, two years out of business school, and he had built the model.

Three days later the managing partner, Anand Bhatia, stopped at his desk and asked him to present a post-mortem to the investment committee at the end of the month. Forty minutes. Not a defence of the model, Bhatia said, and not an apology either. He wanted to know how the firm had arrived at $343.4 million, and what would have had to be different for it to arrive somewhere else.

Nikhil said he would need the file.

Bhatia said the file was the easy part. Everything was in the file. What was not in the file was the thing he actually wanted, which was why eleven people with a combined forty years of experience had looked at the same documents and reached a number that now appeared to have been wrong by nearly a third.

He added one instruction. He did not want a presentation that concluded the team should have been more careful.

Meridian Capital Partners

Meridian was a Mumbai-based private equity firm investing in Indian mid-market companies. Fund III, which closed in 2021 at $506.0 million, was its largest. Its stated mandate was control and large minority positions in consumer, healthcare and business services companies with enterprise values between $60.2 million and $361.4 million. Khandesh Foods was the biggest cheque the firm had ever written.

The firm employed thirty one people. Investment decisions were taken by an investment committee of five: Anand Bhatia, who had founded the firm in 2009 after fourteen years at a larger fund; two other partners; and two independent members, one a former chief executive of a listed consumer company and one a retired banker.

The committee met on alternate Fridays. A deal came to it twice. The first visit was for approval to spend money on diligence, which Meridian called a first gate. The second was for approval to bid, which was final. Between the two gates sat whatever work the deal team could complete, and the deal team for Khandesh was three people: Bhatia, a principal named Shruti Iyer, and Nikhil.

Two features of how Meridian worked matter to what follows, and neither was unusual in the industry.

The first was that the investment memorandum circulated to the committee was written by the deal team. It contained the valuation, the assumptions behind it, the diligence findings and a

recommendation. Committee members read it in the two days before the meeting. There was no second team, and nobody was assigned to argue against the recommendation.

The second was that the valuation model was a single file. It was revised as diligence progressed, saved over itself, and backed up by date. By the time the committee saw it in October 2023, it had been through eleven saved versions. The memorandum presented the latest one. It did not show the earlier ones, and nobody asked for them.

Meridian's returns to that point had been respectable. Fund I had returned 2.1 times invested capital, Fund II was marked at 1.8 times with four companies still held. The firm had never written down an investment by more than $14.5 million.

Khandesh Foods

Khandesh Foods made packaged snacks and ready-to-cook mixes. It had been founded in Jalgaon in 1987 by Madhukar Patil, who had started with one product, a besan-based namkeen sold in unbranded packets to shops in three districts of north Maharashtra. By 2023 the company had four plants, nine hundred and forty employees, and two brands with genuine recognition in Maharashtra, Gujarat and Madhya Pradesh.

Revenue in the year to March 2023 was $142.2 million. EBITDA was $17.1 million, a margin of twelve per cent. Growth over the preceding three years had averaged fourteen per cent a year, though the last of those years had been affected by a commodity price spike that the company had absorbed rather than pass on.

About sixty eight per cent of revenue came from traditional trade, meaning small shops reached through a network of four hundred and ten distributors. Modern trade was twenty two per cent and growing. Online was ten per cent and growing faster, from a small base.

The company was owned by the Patil family. Madhukar Patil, seventy one at the time of the transaction, held fifty four per cent. His two sons held the rest between them, along with a cousin who ran the Indore plant. The elder son managed operations and wanted to continue. The younger son had moved to Bengaluru in 2016 and had no role in the business. The cousin had been in a dispute with the family since 2019 over the valuation of his shareholding.

That dispute mattered. It was the reason the family had first considered a public listing, and the reason they were willing to sell three years later.

Two things about the business were well understood by everyone involved, and a third was not.

The first was that its brands were strong regionally and unknown outside three states. The second was that its gross margins were structurally lower than those of national players because its product mix was weighted towards commodity-linked lines.

The third, which the diligence touched but did not pursue, was that the company's growth since 2019 had come disproportionately from one product line launched in 2020, a ready-to-cook range that had done exceptionally well during the lockdowns and had been growing at four per cent a year since. In the year to March 2023 that line was twenty nine per cent of revenue.

The Withdrawn Listing

In November 2021 the Patil family appointed Trident Advisors to take Khandesh Foods public. The draft prospectus was filed in January 2022.

The issue was to be a mix of fresh shares and a partial exit for the family. The price band announced on 2 March 2022 implied an enterprise value of $409.6 million, which was 31.5 times the company's EBITDA for the year to March 2021.

The issue opened on 8 March 2022 and was withdrawn on 10 March. The subscription figures at the point of withdrawal were not published. Trident's public statement cited volatile market conditions. Four other Indian issues were pulled in the same fortnight.

So the $409.6 million was never tested. No investor bought a share at that price. It was a number produced by a bank that was being paid to produce it, printed in a prospectus, and withdrawn before anybody had to decide whether they believed it.

It is important to be precise about what the figure was and was not. It was not a valuation anyone paid. It was not a valuation anyone bid. It was an asking price, set by the seller's adviser, at a moment when the market for consumer listings in India was at its most forgiving in a decade.

In June 2023 the family decided to sell outright rather than list. They appointed Trident again.

The teaser document Trident circulated to eleven private equity firms in the second week of June ran to six pages. Its first page carried a summary of the business, its revenue and its EBITDA. Its second page carried a section headed Valuation Context, whose opening line read: the company filed for a public listing in 2022 at an implied enterprise value of $409.6 million.

No other valuation figure appeared anywhere in the teaser.

Nikhil read the teaser on 14 June 2023. He later remembered thinking that $409.6 million sounded high. He did not write that down anywhere, and he could not afterwards reconstruct what he had thought it should be instead.

June to November 2023

Meridian expressed interest on 21 June. The first gate paper went to the investment committee on 7 July and was approved without discussion of price, because at that stage there was no price to discuss. The paper said the opportunity was to acquire a regional consumer platform with national potential, and that the indicative range under consideration was $313.3 million to $361.4 million.

Nikhil wrote that range. Asked in 2026 where it came from, he said it was the IPO figure with a discount applied for the absence of a public market and for the time that had passed. He could not say how the size of the discount had been chosen.

The minutes of the first gate meeting record one remark by Anand Bhatia on the opportunity itself. He said that Khandesh looked like Konkan in 2011.

Konkan Masala was Meridian's best investment. The firm had bought sixty per cent of the Kolhapur spice brand in 2011 for $21.7 million, when it sold almost entirely in southern Maharashtra. Under Meridian's ownership it entered five new states, which by 2016 contributed thirty one per cent of its revenue. Meridian sold its stake in 2017 for $93.4 million, 4.3 times its cost. Bhatia had chaired Konkan's board for the full six years. The Konkan exit appeared on page three of every fund-raising presentation Meridian had made since 2018, and it was the example the firm used when it recruited associates. Nikhil had heard it told at his own interview.

At the meeting Bhatia set out the resemblance in three points: a founder in his seventies, brands that were strong in a few states and unknown outside them, and a family that had taken the business as far as it could go on its own.

Meridian had made one other investment in a regional consumer business. In 2017 Fund II bought a controlling stake in Godavari Beverages, a soft drinks bottler in Nashik, and funded its entry into Telangana and Karnataka in 2018. It withdrew from both states in 2020. Godavari was still held, carried at $10.8 million below cost. It was not mentioned at the first gate meeting, and it does not appear anywhere in the Khandesh file.

Diligence ran from mid-July to early October. Meridian commissioned three external reports: financial diligence from an accounting firm, a commercial study from a consultancy, and a legal review. The commercial study involved two hundred and forty retailer interviews across four states and a consumer survey of eleven hundred households.

The commercial study was positive on brand strength and distribution depth. It flagged two concerns in its executive summary. It noted that the ready-to-cook line had decelerated sharply after 2021 and that its growth rate in the most recent four quarters was four per cent. And it noted that attempts by three comparable regional players to expand outside their home states over the previous decade had produced disappointing results, with only one achieving more than eight per cent of revenue from new states after five years.

Both concerns appear in the final investment memorandum. The first is in paragraph 34 of the growth section. The second is in a footnote to the same section.

The memorandum's growth case assumed that revenue from outside Maharashtra, Gujarat and Madhya Pradesh would rise from six per cent of revenue to twenty two per cent within five years.

In the third week of August, Trident informed Meridian that a second bidder was in the process, that this bidder was a larger pan-Asian fund, and that the family wished to conclude by Diwali. Meridian never learned the second bidder's name, saw no evidence of its existence beyond Trident's statement, and did not ask for any. Shruti Iyer later said that asking would have signalled weakness.

The timetable from that point was compressed. Final bids were due on 20 October. The investment committee met on 20 October, four hours before the deadline.

Meridian bid $343.4 million for one hundred per cent of the equity. The bid was accepted on 23 October. The transaction completed on 28 November 2023.

The Valuation, in Four Versions

Nikhil built a discounted cash flow model and maintained it from late July to the day of the bid. Four versions were saved and survive in the file. Exhibit 2 sets them out.

Version 1, 28 July. Built on the financial diligence base case: revenue growth of nine per cent a year, EBITDA margin flat at twelve per cent, terminal growth of four per cent, a discount rate of 13.5 per cent. Enterprise value, $238.6 million.

Nikhil circulated it to Bhatia and Iyer on a Friday evening. Bhatia replied on the Saturday. His message, in full, read: this is the business as it is today with no owner doing anything. That is not what we are buying.

Version 2, 16 August. Revenue growth raised to thirteen per cent a year, on the basis that a professional owner would accelerate the expansion outside the three home states. Nikhil set the figure just below the company's average growth of fourteen per cent over the preceding three years, which he regarded as a demonstrated rate. Those three years included the lockdown surge in ready-to-cook. Enterprise value, $278.3 million.

Version 3, 12 September. EBITDA margin assumed to rise from twelve per cent to fifteen per cent by year five, on the basis of scale economies in procurement and a shift in mix towards the higher-margin branded snack lines. The assumption followed a call with the elder Patil son, who said he had always believed fifteen per cent was achievable and had been prevented from pursuing it by his father's caution. As evidence he cited the quarter to December 2022, when the company's EBITDA margin had reached 15.2 per cent, and said that with the right owner it could do that every quarter. Exhibit 4 sets out the company's quarterly margins. Enterprise value, $315.7 million.

Version 4, 18 October. Two changes, both made in the week after Trident disclosed the second bidder. Terminal growth raised from four per cent to 5.5 per cent, on the basis that packaged food in

India would grow faster than nominal GDP for the foreseeable future. Discount rate reduced from 13.5 per cent to 12.5 per cent, on the basis that the business was less cyclical than the original rate implied. Enterprise value, $350.6 million.

The investment memorandum presented Version 4. It described the valuation as supported by a discounted cash flow analysis and by comparable transaction multiples, and noted that the implied multiple of 20.1 times EBITDA represented a discount of sixteen per cent to the multiple implied by the 2022 listing attempt.

That last sentence is the only place in the memorandum where the $409.6 million appears. It appears as reassurance.

Every individual change between Version 1 and Version 4 had a reason attached to it, and no reason was absurd. A professional owner might well accelerate expansion. Procurement scale is real. Packaged food in India has grown faster than nominal GDP. A less cyclical business does warrant a lower discount rate.

Four changes were made over twelve weeks. All four raised the valuation. None lowered it. The two concerns raised in the commercial study, the stalling ready-to-cook line and the poor record of regional players expanding outside their home states, produced no change to the model at all.

The Memo of 14 October

Six days before the bid, Nikhil sent Bhatia and Iyer a note of about four hundred words. He did not copy anyone else. He called it a devil’s advocate note, a phrase he later said he had used to make it easier to send.

It made three points.

First, that the model had moved from $238.6 million to $350.6 million in twelve weeks without a single piece of new adverse information being incorporated, and that in his view this pattern was worth examining on its own, separately from whether any individual assumption was right.

Second, that the $409.6 million from the 2022 listing had entered the process on the first page they had read, that it had never been validated by any investor, and that the team had been measuring itself against it ever since. He wrote that a sixteen per cent discount to a number nobody paid was not evidence of value.

Third, that the commercial study’s finding on regional players expanding outside their home states, only one of three achieving more than eight per cent of revenue from new states after five years, was inconsistent with the model’s assumption of twenty two per cent within five years, and that he had not been able to identify what Khandesh had that the three comparators lacked.

He proposed that the committee be shown Versions 1 and 4 side by side.

Iyer replied within the hour, agreeing that the side-by-side was a good idea and saying she would raise it with Bhatia.

Bhatia replied the following morning. He thanked Nikhil for the note and said it was the right instinct. He made three points of his own. That a model always moves upwards during diligence, because diligence is how you learn what a business can do rather than what it has done. That the fifteen per cent margin had come from the man who would be running the company, which was better evidence than a consultant’s survey of other people’s failures. And that the committee had limited time and needed one recommendation, not a menu.

He added that if Nikhil genuinely believed the number was wrong, he should say so at the committee meeting.

The committee met on 20 October at eleven o'clock. Fifty minutes were scheduled. The meeting ran forty five. The discussion covered the growth assumptions, the Patil family's post-closing role, the cousin's shareholding dispute and the financing structure. The valuation was discussed for approximately six minutes.

Nikhil did not raise the memo. Asked in 2026 why not, he said that by the time the valuation came up, the discussion had been about whether $343.4 million or $349.4 million was the right bid, and that raising $238.6 million at that point would have sounded like he had misunderstood the question.

The memo is in the file. It is not referenced in the minutes.

Three Years

The business did not collapse. That is worth saying plainly, because students reading a case about a write-down often assume disaster.

Khandesh Foods grew. Revenue rose from $142.2 million in the year to March 2023 to $174.3 million in the year to March 2026, an average of about seven per cent a year. EBITDA rose from $17.1 million to $20.0 million. The margin fell slightly, from twelve per cent to 11.5 per cent.

Against the model, which had assumed thirteen per cent revenue growth and a margin rising towards fifteen, the business delivered roughly half the growth and none of the margin expansion. Exhibit 1 sets out the comparison.

Three things explain most of the gap.

The expansion outside the three home states happened, and was expensive. Meridian funded entry into Rajasthan, Chhattisgarh and parts of Uttar Pradesh. By March 2026 those states contributed nine per cent of revenue against the twenty two per cent the model had assumed by year five, and the trade spend required to buy shelf space in them had consumed most of the procurement savings that were supposed to lift the margin.

The ready-to-cook line, twenty nine per cent of revenue at acquisition, grew at three per cent a year over the three years. The commercial study had said four per cent. Nobody had modelled it separately.

And the elder Patil son left in February 2025, fourteen months after completion, following a disagreement about the pace of the expansion. The fifteen per cent margin assumption had rested substantially on his conviction.

In September 2026 Meridian's valuation committee marked the investment at $241.0 million, a figure derived by applying a 12.0 times multiple to trailing EBITDA, in line with where comparable regional food businesses were then changing hands.

The mark was $2.4 million above Version 1 of Nikhil's model, built in July 2023 before anybody told him what the business was really worth.

Three Transactions That Were Not Invented

Meridian and Khandesh are fictional. The pattern is not. Three documented examples follow, with sources, so that the mechanism in this case can be weighed against the record rather than taken on the author's word.

Daiichi Sankyo and Ranbaxy. In 2008 the Japanese pharmaceutical company Daiichi Sankyo acquired a controlling stake in Ranbaxy Laboratories. On 30 January 2009, roughly seven months later, Daiichi Sankyo announced a one-time write-down of goodwill relating to Ranbaxy of ¥354.0 billion, recorded in extraordinary losses (Daiichi Sankyo press release, 30 January 2009).

Hewlett-Packard and Autonomy. HP acquired the British software company Autonomy in 2011 for approximately $11.1 billion. In November 2012 it took a write-off of $8.8 billion, and stated that a

majority of the charge related to accounting improprieties at Autonomy before the acquisition (Business Standard, 20 November 2012). This one is included deliberately, because its causes are contested and partly alleged fraud. Not every write-down is a valuation error, and students should be able to tell the difference.

Microsoft and Nokia. Microsoft completed its acquisition of Nokia's devices and services business in 2014. On 8 July 2015 it announced an impairment of approximately $7.6 billion against the assets and goodwill of that segment, a charge of the same order as the price it had paid (Microsoft Form 8-K, 8 July 2015).

A caution about how to use these. What is documented in each is the price, the charge and the date. What is not documented, in any of the three, is what happened inside the room. No public source establishes that anchoring, or any other specific mechanism, produced these numbers, and a student who asserts that it did has gone beyond the evidence in exactly the way this course forbids.

What the three do establish is narrower and still useful. Large acquisitions are written down, by capable organisations with access to the best advisers money can buy, at a scale that dwarfs anything in this case. Whatever is going on, it is not confined to a fictional mid-market fund in Mumbai, and it is not explained by the people involved being careless.

EXHIBIT 1: KHANDESH FOODS, ACTUAL PERFORMANCE AGAINST THE ACQUISITION MODEL (US$ MILLION)

Year to March	Revenue, actual	Revenue, modelled	EBITDA, actual	EBITDA, modelled	Margin, actual	Margin, modelled
2021	109.0		13.0		11.9%	
2022	124.7		15.3		12.3%	
2023	142.2		17.1		12.0%	
2024	152.2	160.6	17.8	20.2	11.7%	12.6%
2025	162.8	181.6	18.8	24.0	11.5%	13.2%
2026	174.3	205.2	20.0	28.3	11.5%	13.8%

Modelled figures are from Version 4 of the acquisition model, dated 18 October 2023, which assumed revenue growth of 13 per cent a year and EBITDA margin rising to 15 per cent by the year to March 2028. The transaction completed on 28 November 2023. Figures for 2021 to 2023 are audited; 2024 to 2026 are management accounts reviewed by the auditor.

EXHIBIT 2: THE FOUR SAVED VERSIONS OF THE VALUATION MODEL

Version	Date	Revenue growth p.a.	EBITDA margin by year 5	Terminal growth	Discount rate	Enterprise value ($ million)	Change
1	28 Jul 2023	9.0%	12.0%	4.0%	13.5%	238.6	
2	16 Aug 2023	13.0%	12.0%	4.0%	13.5%	278.3	+39.7
3	12 Sep 2023	13.0%	15.0%	4.0%	13.5%	315.7	+37.4
4	18 Oct 2023	13.0%	15.0%	5.5%	12.5%	350.6	+34.9

Reference point	$ million	Multiple of FY23 EBITDA
Withdrawn listing, March 2022 price band	409.6	23.9x
Meridian's bid, 20 October 2023	343.4	20.1x
Carrying value, September 2026	241.0	14.1x

The reason recorded for each revision was, in order: that the base case reflected the business under its existing owner rather than under Meridian; that a professional owner would accelerate expansion outside the three home states; that the incoming chief executive believed a 15 per cent margin was achievable; and that packaged food would grow faster than nominal GDP while the business was less cyclical than the original discount rate implied. No revision lowered the valuation. The multiples in the second table are stated against EBITDA for the year to March 2023 of $17.1 million, for comparability; the 2022 price band was set against EBITDA for the year to March 2021 of $13.0 million, a multiple of 31.5 times.

EXHIBIT 3: COMPARABLES

Panel A. The three comparables cited in the investment memorandum, October 2023

Company	Description	EV / EBITDA
Listed company A	National packaged foods, revenue $1,494.0 million	28.4x
Listed company B	National packaged foods and beverages, revenue $1,072.3 million	24.1x
Listed company C	Listed regional snacks business, revenue $313.3 million	22.6x
Average		**25.0x**

Panel B. Indian packaged food control transactions, enterprise value $48.2 million to $361.4 million, financial years 2019 to 2023

	EV / EBITDA
Lowest	9.5x
First quartile	11.2x
Median	**12.8x**
Mean	13.4x
Third quartile	14.9x
Highest	19.8x
Number of transactions	12

Applied to Khandesh FY23 EBITDA of $17.1 million	Implied enterprise value ($ million)
At the median, 12.8x	219.0
At the third quartile, 14.9x	254.9
At the highest observed, 19.8x	338.8
Meridian paid	343.4

Panel A is reproduced from the investment memorandum of 16 October 2023. The three are trading multiples of listed companies, two of them national in scale, not transaction multiples of regional businesses. Panel B was assembled by Nikhil Deshpande in September 2026 from transaction databases available to Meridian throughout 2023. No equivalent analysis was prepared before the bid, and none was requested.

EXHIBIT 4: KHANDESH FOODS, QUARTERLY EBITDA MARGIN, APRIL 2020 TO MARCH 2023

Quarter ending	Financial year	EBITDA margin
June 2020	2021	12.8%
September 2020	2021	12.4%
December 2020	2021	11.6%
March 2021	2021	10.8%
June 2021	2022	11.4%
September 2021	2022	12.6%
December 2021	2022	13.1%
March 2022	2022	12.1%
June 2022	2023	10.4%
September 2022	2023	10.9%
December 2022	2023	15.2%
March 2023	2023	11.5%
Average of twelve quarters		**12.1%**

The quarter to December 2022 followed a fall in edible oil and gram flour prices from their mid-2022 peak, and included the festive season. It is the only quarter of the twelve in which the margin exceeded 13.1 per cent. This table was in the financial diligence report received by Meridian in September 2023.

Assignment Questions

In Ivey practice these questions belong in the teaching note rather than the case. They are retained here because students submit written responses before the session.

1. Take the four revisions in Exhibit 2 one at a time and say whether each was justified by evidence in the case. Then say what the pattern across all four tells you that no single revision does.
2. Meridian had access throughout 2023 to the data in Panel B of Exhibit 3 and did not assemble it. What change to the firm's process, as distinct from greater care by the people involved, would have put that panel in front of the investment committee on 20 October?
3. In one line: it is 15 October 2023. You are Nikhil Deshpande, you have sent the memo, and you have Bhatia's reply. What do you do?